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CMA FINAL LAW

Insolvency and bankruptcy

code 2016

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Frequently Asked Questions (FAQs) on Corporate Insolvency Resolution Process ('CIRP')

Q1. What are the objectives of the Insolvency and Bankruptcy Code, 2016 (Code)?

Ans: The Code consolidates and amends the laws relating to reorganisation and insolvency resolution of corporate persons, partnership firms and individuals in a time bound manner for maximization of value of assets of such persons, to promote entrepreneurship, availability of credit and balance the interests of all the stakeholders.

Q2. What is corporate insolvency?

Ans: Corporate insolvency is a state where a corporate person fails to pay debt, whether whole or any part or instalment, when due and payable.

Q3. Who is a corporate person?

Ans: A corporate person means:

- a) a company as defined under the Companies Act, 2013;
- b) a Limited Liability Partnership as defined under the Limited Liability Partnership Act, 2008;
- or
- c) any other person incorporated with limited liability under any law

It does not include any Financial Service Provider. However, Financial Service Provider could be notified for the purpose of their insolvency and liquidation proceedings, under section 227 of the Code.

Q4. Who is a corporate debtor?

Ans: A corporate debtor is a corporate person who owes a debt to any person.

Q5. What is corporate insolvency resolution process (CIRP)?

Ans: CIRP is the process of resolving the corporate insolvency of a corporate debtor in accordance with the provisions of the Code.

Q6. Who can initiate CIRP?

Ans: CIRP may be initiated by a financial creditor under section 7, an operational creditor under section 9 and corporate applicant of corporate debtor under section 10 of the Code.

Q7. What is the minimum default amount for initiating CIRP against a corporate debtor?

Ans: The minimum amount of default for initiating CIRP was ₹ 1 lakh till recently. The Government vide notification dated 24th March, 2020, has increased the minimum amount of default to ₹ 1 crore.

Q8. Who is a Financial Creditor?

Ans: Any person to whom a financial debt is owed and includes a person to whom such debt has been legally assigned or transferred to.

Q9. What is Financial Debt?

Ans: It means a debt along with interest, if any, disbursed against consideration of time value of money. It also includes those enumerated in section 5(8)(a) to (i) of the Code, such as money borrowed against the payment of interest, amount of any liability in respect of any lease or hire purchase contract, any amount raised for a transaction having commercial effect of borrowing such as amount raised from allottee under a real estate project etc.

Q10. Who is an Operational Creditor?

Ans: Any person to whom an operational debt is owed and includes any person to whom such debt has been legally assigned or transferred.

Q11. What is Operational Debt?

Ans: It means claim arising in relation to supply of goods and services. It also includes claims in relation to employment or dues payable to Central Government, State Government or any local authority.

Q12. Who is a Corporate Applicant?

Ans: Corporate Applicant means:

- a) corporate debtor;
- b) a member or partner of the corporate debtor who is authorised to make an application for the CIRP under its constitutional document or
- c) an individual who is in charge of managing the operations and resources of the corporate debtor; or
- d) a person who has the control and supervision over the financial affairs of the corporate debtor.

Q13. Which court/tribunal has the jurisdiction to hear an application for CIRP?

Ans: National Company Law Tribunal, having territorial jurisdiction over the place where the registered office of the corporate person is located serves as the Adjudicating Authority, in relation to insolvency resolution and liquidation for corporate persons.

Q14. What documents are required to be submitted by a Financial Creditor along with the application for CIRP?

Ans: The documents to be submitted by a financial creditor along with the application as stated in section 7(3) of the Code and rule 4 of the Insolvency and Bankruptcy (Application to Adjudicating Authority) Rules, 2016, *inter-alia*, include, record of default recorded with information utility or other record or evidence of default as specified and the name of the proposed interim resolution professional.

Q15. What documents are required to be submitted by an Operational Creditor along with the application for CIRP?

Ans: The documents to be submitted by an operational creditor along with the application as stated in section 9(3) of the Code and rule 6 of the Insolvency and Bankruptcy (Application to Adjudicating Authority) Rules, 2016 *inter-alia*, include a copy of the invoice demanding payment or demand notice delivered by the operational creditor, affidavit stating that no dispute of the debt has been raised by the corporate debtor and a copy of certificate from financial institution, record with information utility or any other proof, confirming that there is no payment of unpaid debt.

Q16. Is there a specific form/format for the demand notice/ invoice demanding payment to be sent to corporate debtor under section 8?

Ans: Yes. As per rule 5 of Insolvency and Bankruptcy (Application to Adjudicating Authority) Rules, 2016, the demand notice needs to be furnished to the corporate debtor in Form 3 or copy of an invoice attached with a notice in Form 4.

Q17. Can a corporate debtor undergoing CIRP file an application for initiating CIRP against its own debtors?

Ans: Yes, a corporate debtor undergoing CIRP can do so in terms of section 11 of the Code.

Q18. What documents are required to be submitted by a corporate debtor / corporate applicant along with the application for CIRP?

Ans: The documents to be submitted by a corporate debtor along with the application, as stated in section 10(3) of the Code and rule 7 of the Insolvency and Bankruptcy (Application to Adjudicating Authority) Rules, 2016, *inter alia*, include information relating to its books of account, name of the proposed interim resolution professional and special resolution passed by shareholders of the corporate debtor or the resolution passed by at least three-fourth of the total number of partners of the corporate debtor (as the case may be) approving filing of application.

Q19. Can a corporate debtor undergoing liquidation, file an application for initiation of CIRP on itself?

Ans: No.

Q20. What is time limit within which the CIRP should be completed?

Ans: As per section 12(1) of the Code, the CIRP shall be completed within a period of 180 days from the date of admission of the application to initiate such process. The Adjudicating Authority may grant a one-time extension of 90 days. The maximum time within which CIRP has to be mandatorily completed, including any extension or litigation period, is 330 days.

Q21. What is the procedure to extend the time period beyond one hundred and eighty days?

Ans: The committee of creditors is required to pass a resolution, with sixty-six percent of the total voting share, to extend the CIRP. Thereafter, the resolution professional needs to file an application to the Adjudicating Authority seeking approval for such extension.

Q22. Can a CIRP once initiated be withdrawn?

Ans: Yes. It can be withdrawn either before admission by the Adjudicating Authority or even after admission. The Adjudicating Authority may allow withdrawal of application admitted under section 7 or section 9 or section 10, on an application made by the applicant through the resolution professional, with the approval of 90 percent of voting share of the committee of creditors. The application for withdrawal may also be made by the applicant through interim resolution professional even before the constitution of committee of creditors.

Q23. What does the Insolvency Resolution Process Costs include?

Ans: The Insolvency Resolution Process Costs is defined to mean those costs indicated in section 5(13) of the Code read with regulation 31 of Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016. It includes amount of any interim finance along with cost of raising such finance, fee and expenses of interim resolution professional or resolution professional ratified/approved by the committee of creditors, fee of the authorised representative representing class of creditor, cost incurred for running the corporate debtor as going concern, amount due to suppliers of essential goods and services etc.

Q24. Who will fix and bear the expenses/ cost incurred by the interim resolution professional?

Ans: As per regulation 33 of Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016, the applicant is required to fix the expenses incurred or to be incurred by the interim resolution professional. In case, the expenses are not fixed by the applicant, the Adjudicating Authority shall fix the expenses. Such costs/expenses shall be borne by the applicant which shall be reimbursed by the committee of creditors to the extent ratified by it. Further, the amount of the expenses ratified by the committee of creditors shall form part of insolvency resolution process costs.

Q25. Who will fix and bear the expenses/ cost incurred by the resolution professional?

Ans: The committee of creditors shall fix the expenses to be incurred on or by the resolution professional and such expenses shall form part of insolvency resolution process costs.

Q26. How is an Interim Resolution Professional appointed in a CIRP?

Ans: The Adjudicating Authority appoints the insolvency professional proposed by the financial or operational creditor in their application, as the interim resolution professional on the insolvency commencement date. However, where the name of the insolvency professional is not proposed in the application filed by an operational creditor, the Adjudicating Authority makes a reference to the Board for the recommendation of an insolvency professional, who may act as an interim resolution professional. The Board within ten days of the receipt of a reference from the Adjudicating Authority, recommends the name of an Insolvency Professional to the Adjudicating Authority against whom no disciplinary proceedings are pending.

Q27. What is the term of an interim resolution professional?

Ans: The term of an interim resolution professional continues till the date of appointment of the resolution professional under section 22.

Q28. What is the first step to be taken by interim resolution professional after admission of CIRP?

Ans: After admission of CIRP by the Adjudicating Authority, an interim resolution professional makes a public announcement in Form A within three days from his appointment and calls for submission of claims from the stakeholders.

Q29. Who bears the expenses of public announcement?

Ans: The applicant initiating CIRP bears the expenses of the public announcement which may be reimbursed to the extent ratified by the committee of creditors.

Q30. What does moratorium mean?

Ans: As per section 14(1) of the Code, an order of moratorium passed by the Adjudicating Authority shall prohibit the following: a) the institution of suits or continuation of pending suits or proceedings against the corporate debtor including execution of any judgement, decree, or order in any court of law, tribunal, arbitration panel or other authority. b) transferring, encumbering, alienating, or disposing off by the corporate debtor any of its assets or any legal right or beneficial interest therein. c) any action to foreclose, recover or enforce any security interest created by the corporate debtor in respect of its property including any action under the SARFAESI Act, 2002. d) recovery of any property by an owner or lessor where such property is occupied by or in the possession of the corporate debtor.

Q31. Whether moratorium would apply to a guarantor of the corporate debtor?

Ans: As per section 14(3) of the Code, the order of moratorium shall not apply to a surety in a contract of guarantee to a corporate debtor. Consequently, actions or proceedings, if any, against a guarantor of the corporate debtor are not impacted by the order of moratorium.

Q32. What is the duration of moratorium?

Ans: The order of moratorium comes into force from the date of such order by the Adjudicating Authority till the completion of the CIRP. Further, if the Adjudicating Authority approves the resolution plan under section 31(1) or passes an order for liquidation of corporate debtor under section 33, the moratorium ceases to have effect from the date of such approval of resolution plan or liquidation order, as the case may be.

Q33. Can a license, permit, registration, quota, concession, clearance or similar grants or rights stand suspended/terminated on grounds of insolvency?

Ans: No, such grants or rights given by the Central Government, State Government, local authority, sectoral regulator or any other authority constituted under any other law for the time being in force, cannot be suspended or terminated on the grounds of insolvency. However, this is subject to the condition that there is no default in payment of current dues arising for their use or continuation during the moratorium period.

Q34. Can a supplier terminate or suspend supply of essential goods and services to the corporate debtor during the moratorium period?

Ans: No, essential goods and services specified under regulation 32 of the Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016, cannot be terminated or suspended during moratorium.

Q35. Who will manage the corporate debtor after admission of CIRP?

Ans: Upon the appointment of the interim resolution professional, the affairs of the corporate debtor shall be managed by him. Thereafter, it shall be managed by the resolution professional upon his appointment.

Q36. What happens to the power of the board of directors or the partners of the corporate debtor?

Ans: The powers of the board of directors or the partners of the corporate debtor as the case may be, shall stand suspended upon the appointment of the interim resolution professional. Such powers shall be exercised by the interim resolution professional and resolution professional, as the case may be.

Q37. Whether financial institutions of corporate debtor are bound by the instructions of interim resolution professional or resolution professional?

Ans: As per section 17(1)(d) of the Code, the financial institutions maintaining the accounts of the corporate debtor are bound to act on the instructions of the interim resolution professional in relation to such accounts and are required to furnish information relating to the corporate debtor. The same powers are also available to a resolution professional after his appointment.

Q38. How is the committee of creditors constituted?

Ans: The interim resolution professional shall receive and collate all claims submitted by creditors pursuant to the public announcement and thereafter constitute the committee of creditors comprising of financial creditors, which is not a related party.

Q39. Whether a financial creditor being a related party of the corporate debtor, can participate or vote in the committee of creditors.

Ans: No, a financial creditor which is a related party to the corporate debtor is not included in the committee of creditors and therefore, shall not have any voting share in the committee.

Q40 Who shall be the members of the committee of creditors consisting of only operational creditors?

Ans: As per regulation 16 of the Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016, the committee of creditors having only operational creditors shall consist of following members:

- a) eighteen largest operational creditors by value or all operational creditors, where they are less than eighteen in number;
- b) one representative elected by workmen other than workmen included under 'a'; and
- c) one representative elected by all employees other than employees included under 'a'

Q41. How is the resolution professional appointed by the committee of creditors?

Ans: The committee of creditors, may, in the first meeting or subsequent meeting either resolve to appoint the interim resolution professional as resolution professional or to replace the interim resolution professional by another resolution professional by at least sixty-six percent voting share.

Q42. Who shall be the recipients of the notice of the meeting of committee of creditors?

Ans: The interim resolution professional or resolution professional, as the case may be, shall send the notice of the meeting of committee of creditors to:

- a) all the members of the committee of creditors including authorised representatives,
- b) members of suspended board of directors or partners of corporate debtor, and
- c) operational creditors or their representatives if amount of their aggregate due is not less than 10% of the debt.

However, only the members of the committee of creditors shall have voting rights while others shall have right to participation only.

Q43. What are the rights and duties of the authorised representative of financial creditors?

Ans: The rights and duties of the authorised representative are as provided under section 25A of the Code. It includes the right to participate and vote in the meetings of committee of creditors. The authorised representative circulates the agenda of the meeting to the creditors in class and may seek their preliminary views to enable him to effectively participate in the meeting. Thereafter, the authorised representative circulates the minutes of the meeting and seeks voting instructions from such creditors to enable him to vote accordingly.

Q44. When is the first meeting of committee of creditors held?

Ans: The first meeting of committee of creditors is to be held within 7 days of filing of report of its constitution to the Adjudicating Authority. It is held within 30 days from insolvency commencement date.

Q45. What happens to the CIRP where the interim resolution professional is not appointed as resolution professional by committee of creditors or Adjudicating Authority?

Ans: The interim resolution professional continues to perform the functions of the resolution professional from the 40th day of the insolvency commencement date till a resolution professional is appointed.

Q46. Whether interim resolution professional or resolution professional can unilaterally undertake significant actions during CIRP?

Ans: No. Section 28(1)(a) to (m) of the Code, elaborate the list of actions that require prior approval of the committee of creditors by a vote of sixty-six per cent of the voting shares. These include matters like interim finance, creation of security interest over the assets of corporate debtor, change of capital structure or recording any change in ownership interest of corporate debtor, undertaking related party transactions, making change in management, etc.

Q45. When can a resolution professional be replaced?

Ans: Where the committee of creditors is of the opinion that a resolution professional appointed under section 22 is required to be replaced, it may pass a resolution to that effect by a vote of sixty- six per cent of voting shares. The committee of creditors may thereafter apply to the Adjudicating Authority for the appointment of proposed resolution professional along with the written consent from such person in the specified form.

Q46.What is Resolution Plan?

Ans:As section 5(26) of the Code, resolution plan means a plan proposed by any person for insolvency resolution of the corporate debtor as a going concern in accordance with Part II. It may include provisions for the restructuring of the corporate debtor, including by way of merger, amalgamation and demerger.

Q47. Who prepares the Resolution Plan? Ans: A resolution applicant prepares the Resolution Plan on the basis of memorandum given by the resolution professional.

Q48. Is there any list of persons who are not eligible to act as resolution applicants? Ans: Yes, section 29A of the Code lists out the kind of persons who are not eligible to submit a resolution plan, either individually or acting jointly or in concert. The ineligibilities include undischarged insolvent, willful defaulter as per guidelines of RBI, classification of account as Non- Performing Asset for more than one year, conviction for certain offences, disqualification to act as director of company, prohibition from trading in securities market, invoked guarantee remaining unpaid, having connected person with similar ineligibilities etc.

Q49. What is the process of approval of resolution plan?

Ans: The committee of creditors evaluates all compliant resolution plans as per evaluation matrix and thereafter vote on all such plans simultaneously. The resolution plan needs an approval of atleast sixty-six percent of voting share of the committee of creditors. Further, the resolution plan, which receives the highest votes, is considered as approved. After the resolution plan is approved by the committee of creditors, the resolution professional submits the resolution plan to the Adjudicating Authority. Thereafter, the Adjudicating Authority accords final approval to the resolution plan under section 31(1) of the Code.

Q50. Can a resolution applicant attend meeting of the committee of creditors?

Ans: Yes. The resolution applicant may attend the meeting of the committee of creditors. However, the resolution applicant shall not have a right to vote at the meeting of the committee of creditors unless such resolution applicant is also a financial creditor.

Q51. After filing of claim, when can one expect the payment to be credited or made?

Ans: The payments will be made as per the resolution plan approved by the committee of creditors of the corporate debtor, and further by the Adjudicating Authority, including any modifications thereof. All payments shall be dealt with in accordance with the provisions of the Code.

Q52. What is the manner of payment to operational creditors and dissenting financial creditors under a resolution plan?

Ans: The payment to operational creditors and to financial creditors who do not vote in favour of the resolution plan are required to be provided in the resolution plan in the manner stated in section 30(2)(b) of the Code. Further, regulation 38 of the Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016 provides for the mandatory contents of the resolution plan, which *inter alia* include that amount payable to the operational creditors and to financial creditors who did not vote in favour of the resolution plan shall be paid in priority to financial creditors who voted in favor of resolution plan.

Q53. What happens when the resolution plan is not filed within 180 days of the commencement date or such other extended period?

Ans: The Adjudicating Authority may pass orders for the liquidation of the corporate debtor if the resolution plan is not filed within 180 days of insolvency commencement date or such other extended period.

Q54. Does committee of creditors make any assessment of corporate debtor to be sold as a going concern?

Ans: Under regulation 39C of the Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016, while approving the resolution plan under section 30 or deciding to liquidate the corporate debtor under section 33, the committee of creditors may recommend that the liquidator may first explore sale of the corporate debtor as a going concern or sale of business of the corporate debtor as a going concern,. The committee of creditors may also identify and group the assets/liabilities, which according to commercial considerations may be sold as going concern.

Q55. Who is responsible for determining and filing applications in relation to avoidance transactions of a corporate debtor against which CIRP has been admitted?

Ans: As per section 25(2)(j) of the Code, it is the duty of the resolution professional to file application for avoidance of transactions under sections 43 (preferential transactions), 45 (undervalued transactions), 50 (extortionate transactions) or 66 (fraudulent transactions) of the Code. In terms of regulation 35A of the Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016 the resolution professional is required to form an opinion on such transactions within 75 days, to make determination within 115 days and file application before Adjudicating Authority within 135 days from insolvency commencement date.